

Economy

A new generation of business formation

21 July 2026

Key takeaways

- Business formation continues to trend higher, suggesting entrepreneurial activity remains resilient despite economic uncertainty. Bank of America data indicates households are still willing to take on risk and pursue new business opportunities.
- Gen X remain the largest group of business founders, according to Bank of America payments data. Yet Gen Z are contributing disproportionately to recent growth, with application growth in June more than double that of Millennials and Gen X, suggesting a new generation of entrepreneurs is emerging.
- Recently, there has been a divergence between overall business applications and those that signal planned wages. This is most evident within the information sector, suggesting AI is likely playing a role in new business formation.

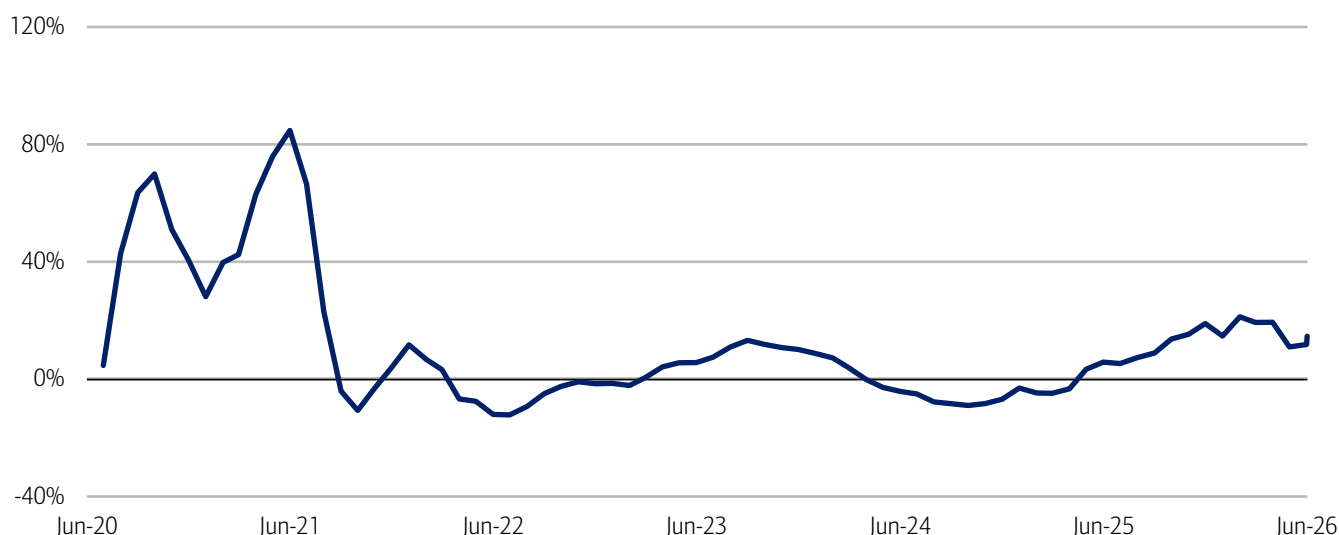
New business formation reaches new heights

New business formation is often viewed as a barometer of economic dynamism. Entrepreneurs create jobs and introduce new products and services, which can help drive productivity growth. The recent acceleration in business applications therefore suggests that households remain willing to take on risk and pursue new opportunities despite an environment of elevated interest rates and economic uncertainty.

In June, growth in business applications was up nearly 15% year-over-year (YoY) on a three-month moving average, according to data from the Bureau of Labor Statistics (BLS) (Exhibit 1).

Exhibit 1: Since mid-2025, growth in business applications has largely trended upward

The number of business applications from the BLS (monthly, three-month moving average, YoY%)



Source: BLS

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Deciphering the demographics: Gen X lead but Gen Z are catching up

So, who is starting these businesses? Using Bank of America payments data, we measure the number of new business applications by identifying customers who made a payment to open an LLC (limited liability company) and other relevant

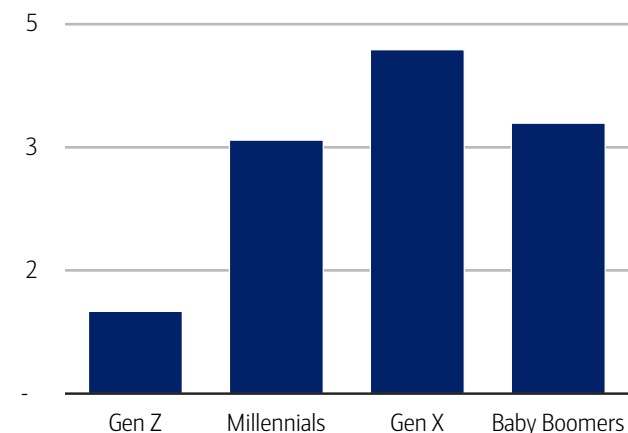
business formation-related names. Note that this may not capture all business structures such as sole proprietorships (see Methodology) or those who file through a third-party, but it does allow us to better understand the demographics of founders.

According to Bank of America payments data, there are nearly four Gen X founders for every Gen Z one in the rolling twelve months to June (Exhibit 2). Meanwhile, for every one Gen Z-led new business, there are nearly three Millennial and Baby Boomer ones. This suggests to us that entrepreneurship still skews to older generations.

However, Bank of America internal data suggests founders are getting significantly younger, especially compared to levels seen during the pandemic. In June 2020, there were about 26 Gen X founders for every Gen Z one, and Millennial entrepreneurs outnumbered Gen Z businesses by nearly 12 to one (Exhibit 3).

Exhibit 2: There are over four Gen X founders for every one Gen Z founder...

Share of business applications by generation (rolling twelve month sum to June 2026, Gen Z average = 1)

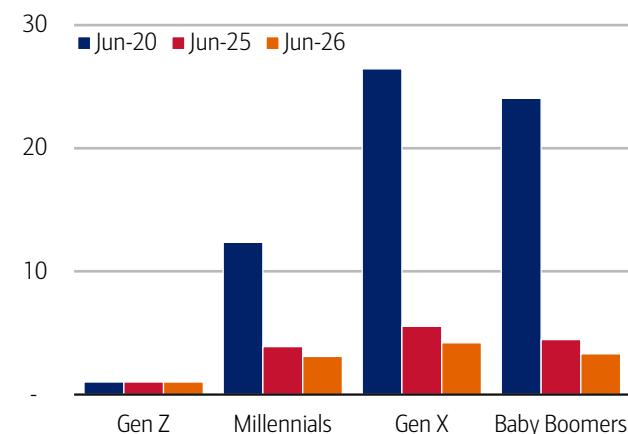


Source: Bank of America internal data

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Exhibit 3: ...but this is a significant improvement from June 2020, when there were 26 Gen X founders for every one Gen Z-led new business

Share of business applications by generation (rolling twelve month sum, Gen Z average every year = 1)



Source: Bank of America internal data

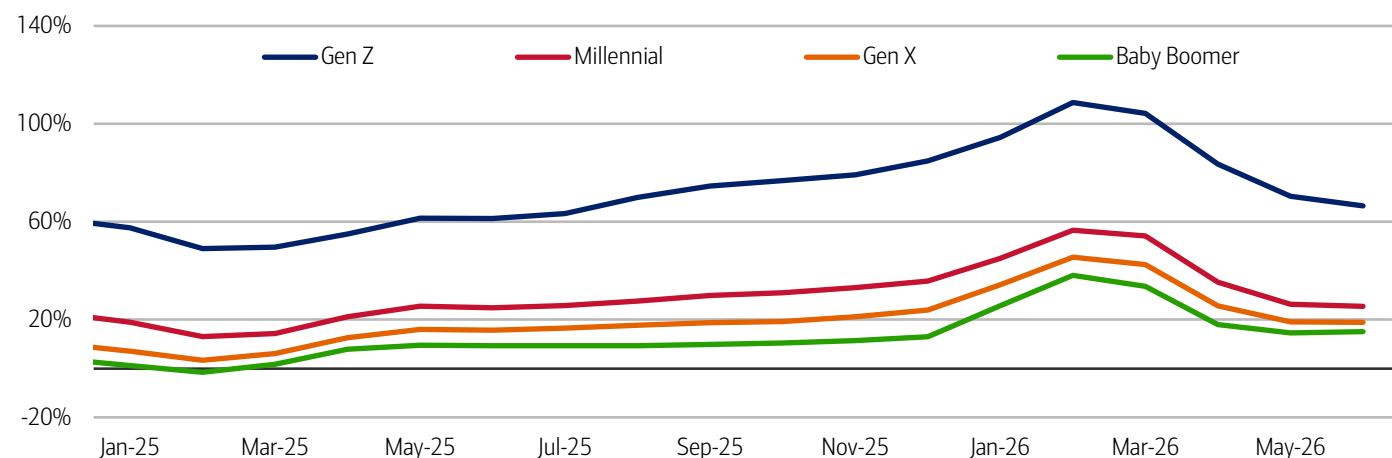
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Gen Z bring a new wave of entrepreneurs

Despite representing a smaller share of new business formation activity compared to older cohorts, Gen Z are now contributing meaningfully to YoY growth in such filings (Exhibit 4). In June, Gen Z surpassed all other generations in application growth. With younger workers navigating a tough labor market, starting a business may be viewed as an alternative path to income growth and career advancement.

Exhibit 4: Gen Z business applications grew around 66% YoY in June

Number of business applications by generation (monthly, rolling twelve month sum, YoY%)



Source: Bank of America internal data

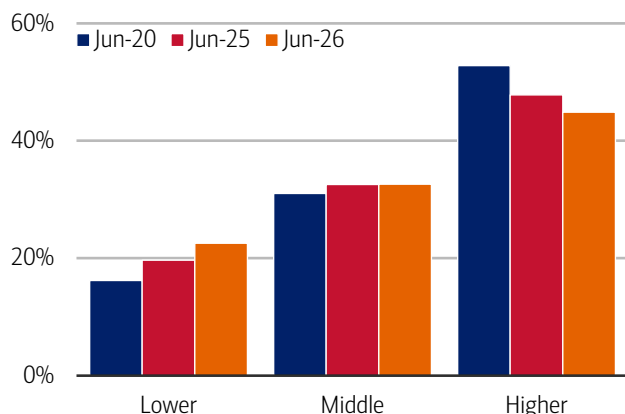
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Lower- and middle-income households drive most of business formation growth

In our view, it's also possible that the increase in younger founders explains some of the shifting income dynamics of business formations. Most notably, lower-income households comprise nearly one out of every four business formations, up from just below one out of every five in June 2020 (Exhibit 5). Also, lower- and middle-income households are driving the majority of business creation YoY growth (Exhibit 6). Still, more than two out of every five businesses are started by higher-income households as of June 2026.

Exhibit 5: Lower-income households now account for one out of every four new business applications

Share of business applications by income (rolling twelve-month sum, %)

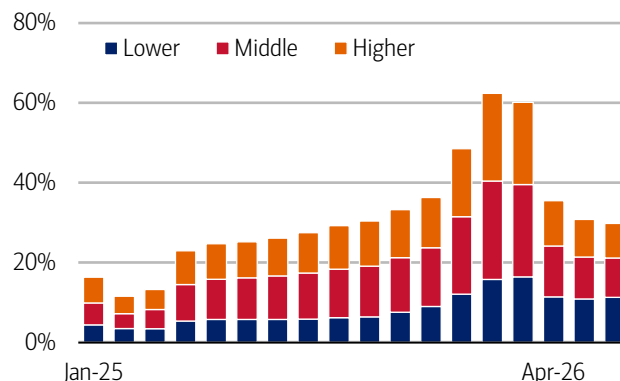


Source: Bank of America internal data

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Exhibit 6: Lower- and middle-income households are major contributors to the growth in business applications

Percentage point contribution to overall YoY growth in business applications (rolling twelve-month sum, percentage points)



Source: Bank of America internal data

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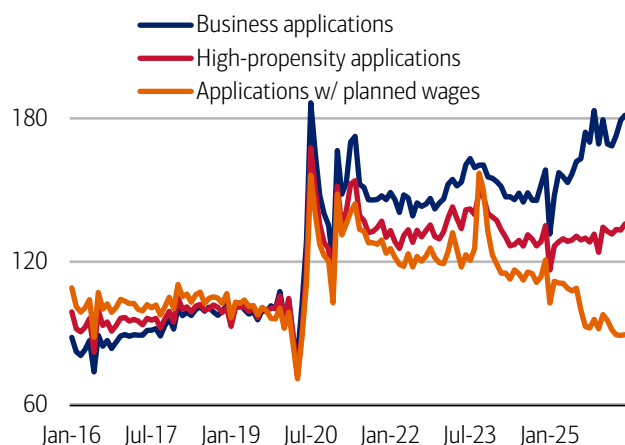
Starting up in the AI era

One factor that could be driving more diverse growth in business formation could be that more companies are being started with leaner operating models. In fact, there has been a stark divergence between the overall number of business applications and those that signal plans to pay wages (i.e., that plan to hire workers), according to the BLS (Exhibit 7). And that difference is widest within the information sector, according to BLS data (Exhibit 8).

If AI or other digital tools can help founders automate administrative tasks, bookkeeping or content creation, the upfront need for employees could be lower than in past startup cycles. That would help explain why headline applications can rise even as those with planned wages lag, though it also means the near-term payroll impact may be smaller than the business formation data alone would imply.

Exhibit 7: There has been a stark divergence between the number of business applications and those applications with planned wages

Applications by type (monthly, indexed, 2019 average = 100)

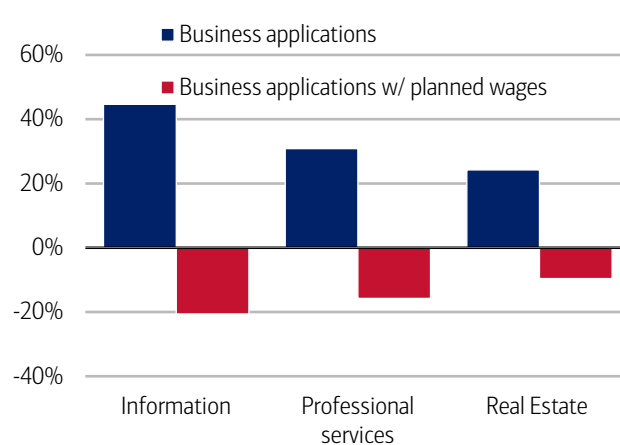


Source: Haver Analytics

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Exhibit 8: In white-collar industries, business application growth remains strong, but those with planned wages has fallen in June

Applications by industry in June (YoY%, seasonally adjusted)



Source: BLS

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This could have broader implications for job growth and productivity, although labor market outcomes depend more on an economy's ability to adapt through skills, institutions and workforce quality, according to BofA Global Research (read more on this [in May's AI and the future of work](#)).

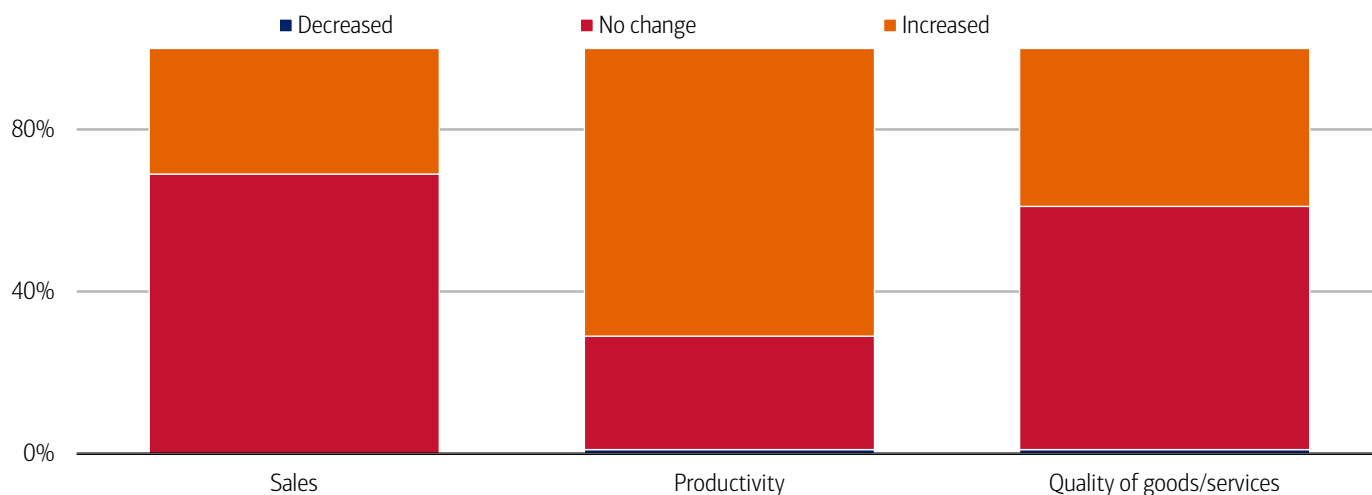
For small employer firms, AI impact on productivity is visible

Data from the Cleveland Fed's Small Business Credit Survey indicates that small employer firms have seen some AI impact on their business. In fact, many of these business owners reported an increase in productivity resulting from AI adoption (Exhibit 9).

Though AI could be enabling new business formation and we continue to see small business spending on AI (read more on this in [June's Small Business Checkpoint](#)), the productivity payoff depends on whether these smaller and potentially younger companies can convert their nascent operations into revenue growth, hiring and durable efficiency gains. For now, we think evidence suggests that AI may be making it easier to form a business rather than a proven driver of broad-based small business productivity gains.

Exhibit 9: A majority of small firms reported an increase in productivity resulting from AI use

Changes at small employer firms resulting from AI use (%)



Source: 2026 Small Business Credit Survey

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Methodology

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Any **Small Business** payments data represents aggregate spend from Small Business clients with a deposit account or a Small Business credit card. Payroll payments data include channels such as ACH (automated clearing house), bill pay, checks and wire. Bank of America per Small Business client data represents activity spending from active Small Business clients with a deposit account or a Small Business credit card and at least one transaction in each month. Small businesses in this report include business clients within Bank of America and are generally defined as under \$5mm in annual sales revenue.

Unless otherwise stated, data is not adjusted for seasonality, processing days or portfolio changes, and may be subject to periodic revisions.

The number of new business formations is proxied using aggregated and anonymized Bank of America payments data based on household debit and credit card data, small business credit card data and check data. Potential business formation activity is identified through customer payments to Secretary of State offices and other entities related to business formation activities (e.g., "Division of Corporations") associated with LLC registration activity during the month. This measure is intended to serve as a proxy for business formation activity and would not necessarily capture all business types or legal structures. This would also not capture any third-party payments towards a new business formation.

Data regarding merchants who receive payments are identified and classified by the Merchant Categorization Code (MCC) defined by financial services companies. The data are mapped using proprietary methods from the MCCs to the North American Industry Classification System (NAICS), which is also used by the Census Bureau, in order to classify spending data by subsector. Spending data may also be classified by other proprietary methods not using MCCs.

The 2026 Small Business Credit Survey was fielded from September 3 to November 14, 2025. It yielded 6,525 responses from a nationwide convenience sample of small employer firms with 1–499 full- or part-time employees across all 50 states and the District of Columbia. This report includes findings about the performance, challenges, and credit-seeking experiences of businesses across the United States.

Generations, if discussed, are defined as follows:

1. Gen Z, born after 1995
2. Younger Millennials: born between 1989-1995
3. Older Millennials: born between 1978-1988
4. Gen Xers: born between 1965-1977
5. Baby Boomer: 1946-1964
6. Traditionalists: pre-1946

Additional information about the methodology used to aggregate the data is available upon request.

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Economy

The rise of value

15 July 2026

Key takeaways

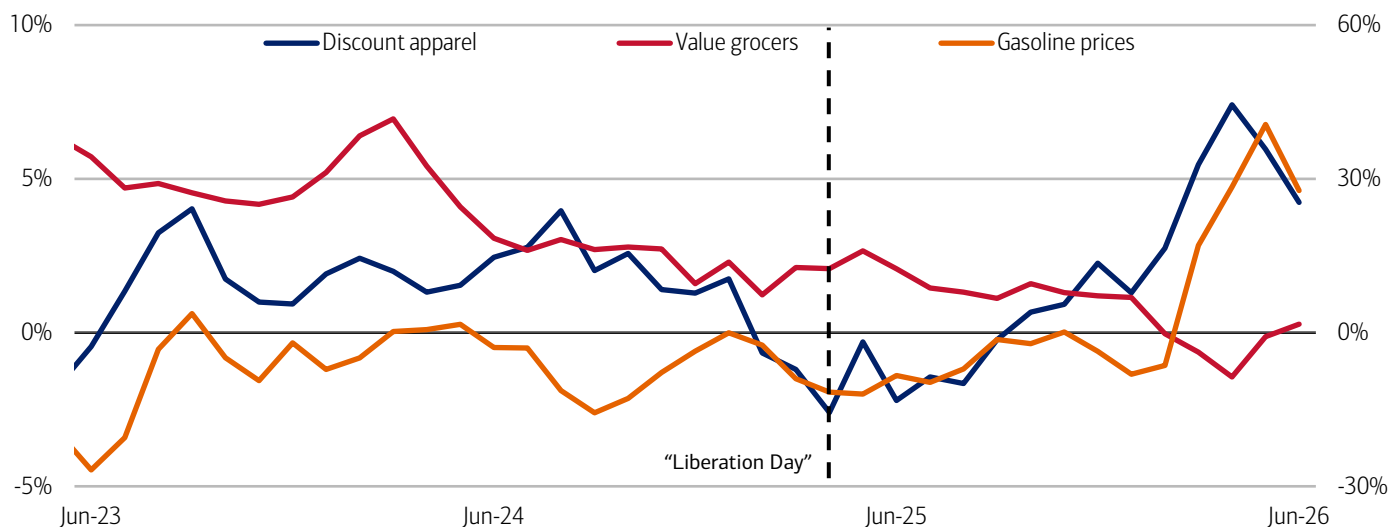
- Consumers are searching for value again, according to Bank of America internal card data. Spending at discount clothiers and value grocers started to accelerate again early this year. Price-conscious consumers are increasingly looking to general merchandise stores for deals and discounts.
- Looking across the income distribution, higher-income households still punch well above their weight in retail spending but have made up a smaller share of spending at discount clothiers and value grocery stores, according to Bank of America internal data. Conversely, lower-income households account for a larger share of retail spending (excluding gas and autos), while also gaining share in the discount apparel and value grocers markets.
- Additionally, lower-income families have demonstrated an interesting economic pattern, according to Bank of America internal data. Their wages have best kept pace with inflation compared to pre-pandemic levels, but they have also traded down the most - experiencing five times faster spending at discount apparel stores than higher-income households so far in 2026.

Consumers search for value again

US consumers appear to be searching for value again as tariffs and elevated gasoline prices squeeze household budgets. Bank of America credit and debit card data suggests shoppers are returning to value grocers (see Methodology), with spending growth at these stores accelerating after cooling for nearly three years (Exhibit 1 and read more in [Consumer Checkpoint: The madness of March](#)).

Exhibit 1: Spending growth at value grocers eased as gasoline prices declined, but has started to tick back up in the past few months

Per household spending growth, based on Bank of America card data, by select categories (three-month moving average, year-over-year (YoY)%) compared to gasoline prices all grades all formulations (monthly, YoY%)



Source: Bank of America internal data, Energy Information Administration (EIA)

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It's not just groceries where US consumers appear to be searching for value – discount apparel (see Methodology) has also seen a sharp increase in spending growth since April 2025. It's possible that more consumers started heading to the discount tier to

seek less expensive clothing as “Liberation Day”-related tariffs drove prices up. Additionally, spending growth in discount apparel has eased since April 2026, likely because lower pre-tariff prices are no longer part of the YoY comparison.

Another area attracting budget-conscious consumers may be general merchandise retailers (including big box stores and wholesalers). According to Bank of America credit and debit card data, spending growth at such stores hovered around 3% YoY from the beginning of 2024 before accelerating to just under 5% in June 2026 (Exhibit 2). Notably, spending has grown faster at general merchandise stores than overall retail (excluding gas and autos) over the same period.

Exhibit 2: General merchandise has seen solid growth over the past two years

Per household spending growth, based on Bank of America card data, by select categories (three-month moving average, YoY%)



Source: Bank of America internal data

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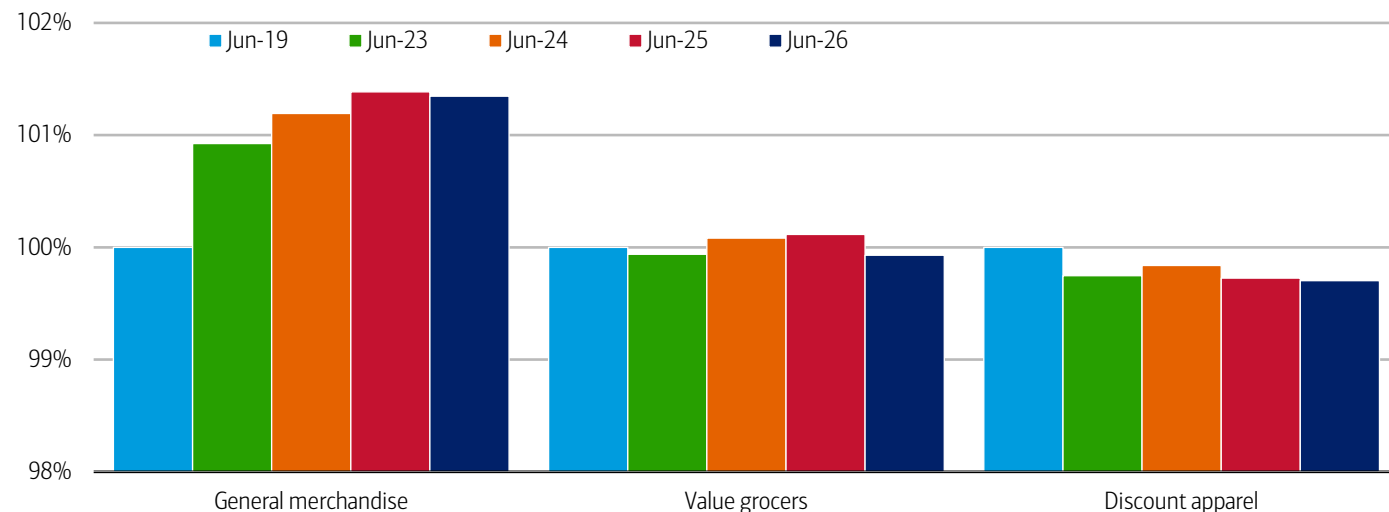
Have general merchandise stores taken market share from other discount retailers?

Since 2023, general merchandise stores have captured a much larger share of retail (excluding gas and auto) spending compared to pre-pandemic levels, according to Bank of America internal data (Exhibit 3). By contrast, the share of spending at value grocers has remained relatively flat, while discount apparel has seen a modest decline.

In our view, this suggests that some retail spending may have shifted to general merchandise stores, potentially reflecting their broad offerings. Another factor may be the expansion of private-label (store-brand) products at big-box retailers and wholesalers across both grocery and apparel categories, according to BofA Global Research. Typically, these products are less expensive and designed to attract consumers looking to save.

Exhibit 3: The share of retail (excluding gas and autos) spending at general merchandise stores has increased over the past four years and compared to pre-pandemic levels

Share of retail spending excluding gas and autos by select categories (monthly, index 2019 = 100%)



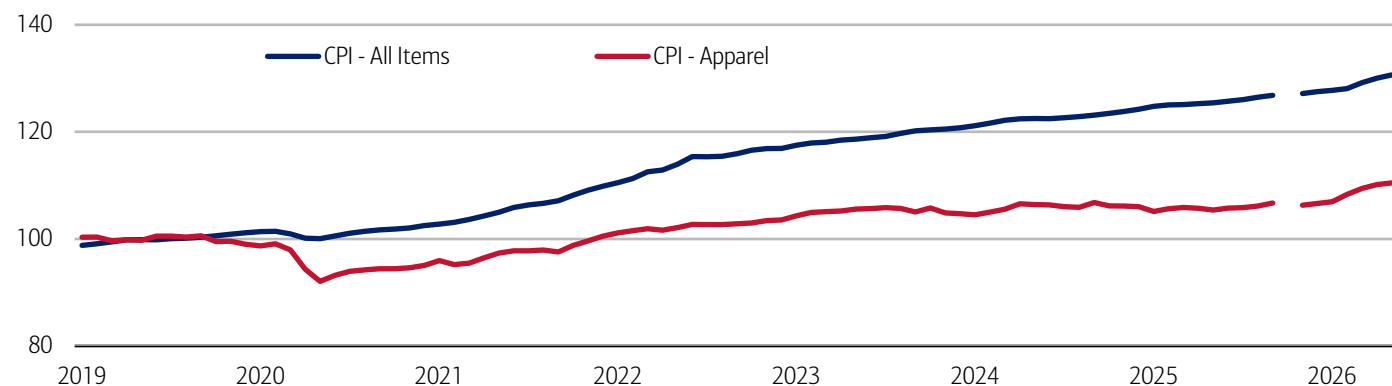
Source: Bank of America internal data

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However, Consumer Price Index (CPI) inflation data from the Bureau of Labor Statistics (BLS) gives us another side to the story. Despite recent price increases, apparel inflation is still well below overall inflation rates, explaining part of the lower discount apparel spending share (Exhibit 4). Additionally, according to BofA Global Research, as long as prices remain elevated elsewhere, people are likely to seek out discount apparel to free up room in their budgets for other pricey items.

Exhibit 4: Overall inflation has grown much faster than apparel inflation

Overall CPI inflation compared to CPI inflation for apparel (monthly, YoY%)



Source: Haver Analytics

Note: Data not available for October 2025 due to federal government shutdown.

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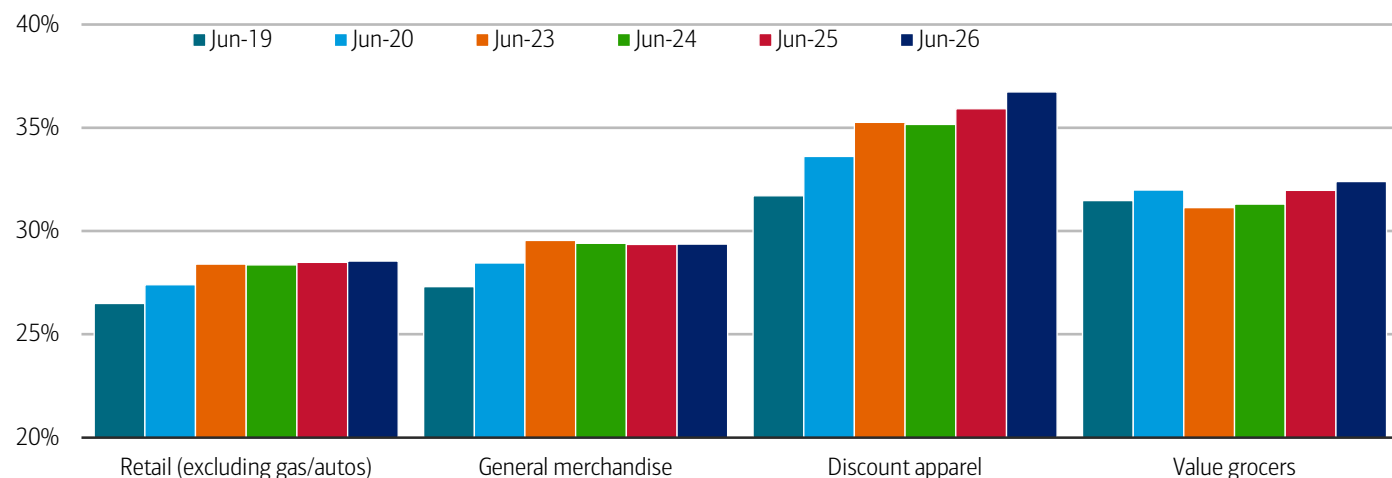
Lower-income households gained share in overall retail and discount categories

Lower-income households – defined here as the lowest third of households by income – have maintained a higher share of retail (excluding gasoline and autos) spending over the past four years compared to pre-pandemic levels but still punch below their weight in this category (Exhibit 5). In fact, lower-income households have accounted for around 29% of spending but make up 33% of households so far in 2026, according to Bank of America internal data.

Additionally, lower-income households have accounted for a growing share of discount apparel spending, representing 37% of the category's spending so far in 2026. Their share has steadily increased over the past three years and is up from 32% before the pandemic.

Exhibit 5: Lower-income households have accounted for a larger share of discount apparel spending compared to pre-pandemic levels and over the past year

Lower-income households' share of spending for select categories (Twelve-month moving average, %)



Source: Bank of America internal data

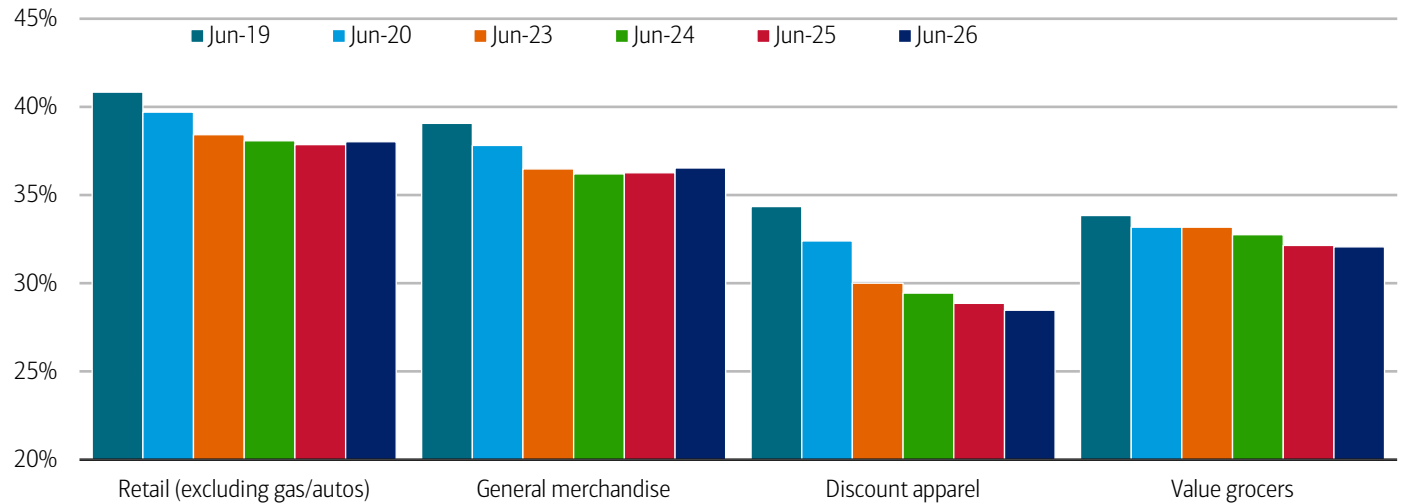
Note: Retail spending here excludes gasoline, autos and major purchases (like homes, boats, etc.).

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It appears that this share has been taken from higher-income households, who accounted for 34% of the discount apparel market in 2019, but today only 28% (Exhibit 6). Notably, higher earners punch above their weight in retail and general merchandise.

Exhibit 6: Higher-income households have accounted for a significantly smaller share of spending at discount apparel stores

Higher-income households' share of spending for select categories (Twelve-month moving average, %)



Source: Bank of America internal data

Note: Retail spending here excludes gasoline, autos and major purchases (like homes, boats, etc.).

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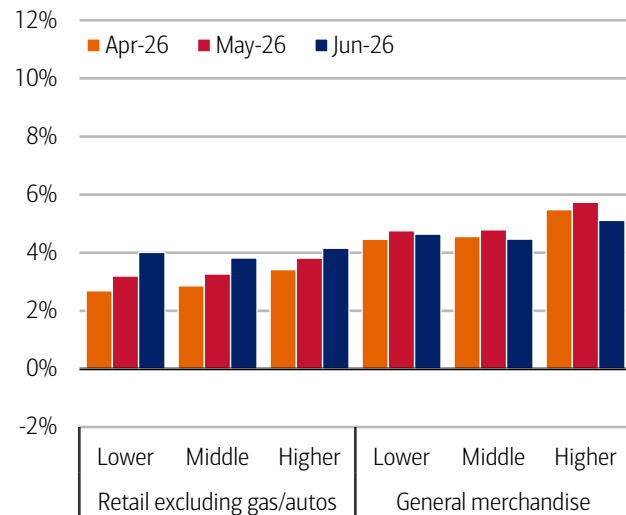
Lower-income households trade down the most despite the fastest wage growth

But are lower-income households “trading down” more despite recent gains in overall retail spending share? In our view, yes.

Notably, retail (excluding gas and autos) spending growth was solid across all income groups from April to June this year (Exhibit 7), but accelerated most for lower-income households, with their growth rates now comparable to those of higher-income households. General merchandise spending growth was also fairly even across income cohorts.

Exhibit 7: Spending growth improved for retail and general merchandise over the past year for all income cohorts

Spending growth for select categories by household income cohort (three-month moving average, YoY%)

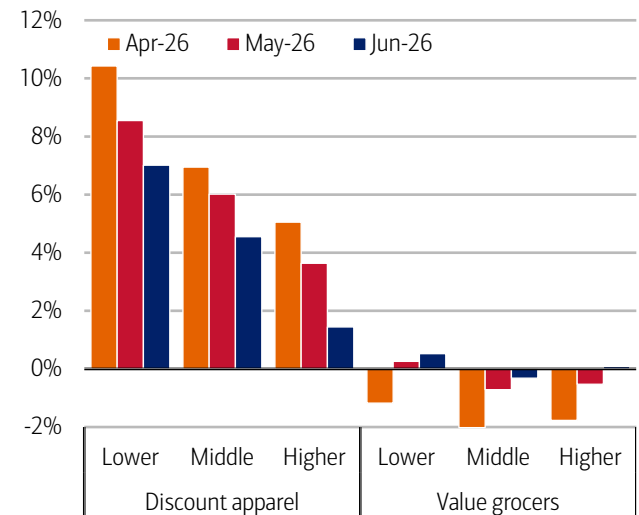


Source: Bank of America internal data

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Exhibit 8: Discount apparel spending growth has eased significantly across the income distribution

Spending growth for select categories by household income cohort (three-month moving average, YoY%)



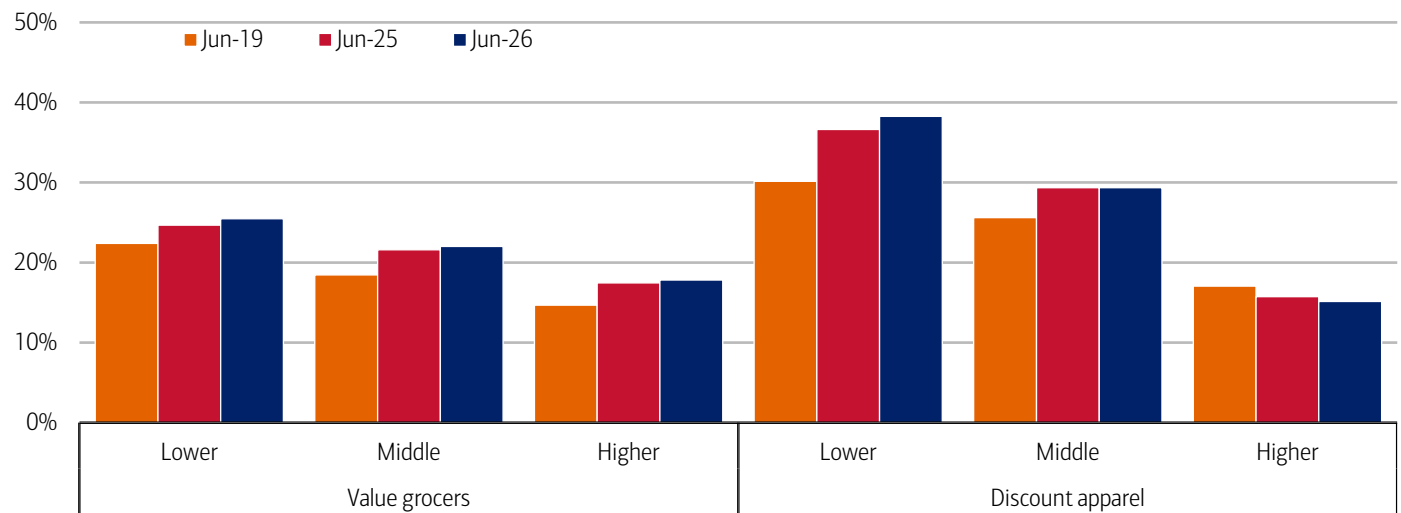
Source: Bank of America internal data

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Spending growth on discount apparel YoY, however, was much stronger for lower-income households – at five times the rate of higher-income households' spending on this category in June (Exhibit 8). It has eased significantly over the past three months but remains the most robust discount category for lower-income households. Lower-income families have also traded down the most – moving more of their grocery and clothing spending to the value/discount tier (Exhibit 9).

Exhibit 9: Lower-income households have traded down the most in groceries and clothing than other income cohorts

Grocery spending share at value grocers and clothing spending share at discount apparel retailers by household income tercile (twelve-month rolling average to June every year, %)



Source: Bank of America internal data

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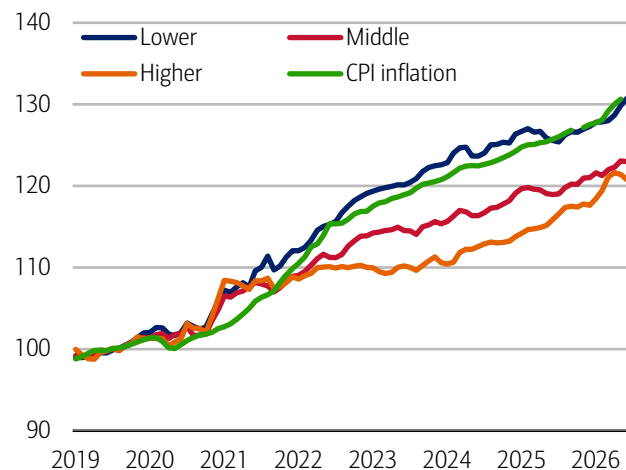
Lower-income households have seen fastest after-tax wage growth compared to pre- but not post-pandemic levels

Bank of America after-tax wage data provides additional insight. Lower-income households' after-tax wage growth has kept pace with inflation better than that of any other income cohort, compared to pre-pandemic levels, due mostly to significant wage growth during the pandemic (Exhibit 10). Why, then, have lower-income households seen the largest increase in discount spending and the highest levels of trading down?

One explanation is that wage growth for lower-income households softened at the start of 2025 before rebounding in recent months (Exhibit 11 and read more in [Consumer Checkpoint: Consumers hit the back of the net](#)). Additionally, inflation tends to have a greater impact on lower-income households because they spend a larger share of their income on necessities and are less insulated from rising housing costs. (read more in [Inside consumers' wallets](#)).

Exhibit 10: Lower-income households' wages have kept pace with inflation since 2019, while wage growth for middle- and higher-income households has lagged

After-tax wages, based on Bank of America deposit data (three-month moving average, index 2019 = 100) compared to CPI inflation, based on BLS data (monthly, index 2019 = 100)



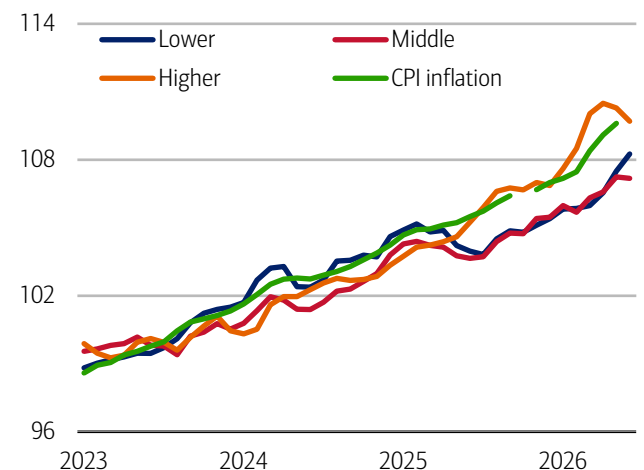
Source: Bank of America internal data and BLS

Note: Data not available for October 2025 due to federal government shutdown.

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Exhibit 11: Lower-income households' wages have lagged higher-income households' since the start of 2025

After-tax wages, based on Bank of America deposit data (three-month moving average, index 2023 = 100) compared to CPI inflation, based on BLS data (monthly, index 2023 = 100)



Source: Bank of America internal data and BLS

Note: Data not available for October 2025 due to federal government shutdown.

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The differences between the total and per household card spending growth rate (if discussed) can be explained by the following reasons:

1. Overall total card spending growth is partially boosted by the growth in the number of active cardholders in our sample. This could be due to an increasing customer base or inactive customers using their cards more frequently.
2. Per household card spending growth only looks at households that complete at least five transactions with Bank of America cards in the month. Per household spending growth isolates impacts from a changing sample size, which could be unrelated to underlying economic momentum, and potential spending volatility from less active users.
3. Overall total card spending includes small business card spending while per household card spending does not.
4. Differences due to using processing dates (total card spending) versus transaction date (per household card spending).
5. Other differences including household formations due to young adults moving in and out of their parent's houses during COVID.

Any household consumer deposit data based on Bank of America internal data is derived by anonymizing and aggregating data from Bank of America consumer deposit accounts in the US and analyzing that data at a highly aggregated level. Whenever median household savings and checking balances are quoted, the data is based on a fixed cohort of households that had a consumer deposit account (checking and/or savings account) for all months from January 2019 through the most current month of data shown.

Bank of America aggregated credit/debit card spending per household includes spending from active US households only. Only consumer card holders making a minimum of five transactions a month are included in the dataset. Spending from corporate cards are excluded. Data regarding merchants who receive payments are identified and classified by the Merchant Categorization Code (MCC) defined by financial services companies. The data are mapped using proprietary methods from the MCCs to the North American Industry Classification System (NAICS), which is also used by the Census Bureau, in order to classify spending data by subsector. Spending data may also be classified by other proprietary methods not using MCCs. This applies to discount apparel and value grocers as well.

We consider a measure of services necessity spending that includes but is not limited to groceries, utilities, and gasoline. Discretionary services includes but is not limited to charitable donations, leisure travel, entertainment, and professional/consumer services. Discretionary retail includes but is not limited to general merchandise, miscellaneous, clothing, electronics and furniture. It excludes categories like groceries and gasoline.

Lower, middle and higher household income cuts in Bank of America credit and debit card spending per household, and consumer deposit account data are based on quantitative estimates of each households' income. These quantitative estimates are bucketed according to terciles, with a third of households placed in each tercile periodically. The lowest tercile represents 'lower income', the middle tercile represents 'middle income' and the highest tercile 'higher income'. The income thresholds between these terciles will move over time, reflecting any number of factors that impact income, including general wage inflation, changes in social security payments and individual households' income. The income and tercile in which a household is categorised are periodically re-assessed.

Generations, if discussed, are defined as follows: Gen Z, born after 1995; Younger Millennials: born between 1989-1995; Older Millennials: born between 1978-1988; Gen Xers: born between 1965-1977; Baby Boomer: 1946-1964; Traditionalists: pre-1946.

Any reference to card spending per household on gasoline includes all purchases at gasoline stations and might include purchases of non-gas items.

Additional information about the methodology used to aggregate the data is available upon request.

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Economy

Consumer Checkpoint: Consumers hit the back of the net

10 July 2026

Key takeaways

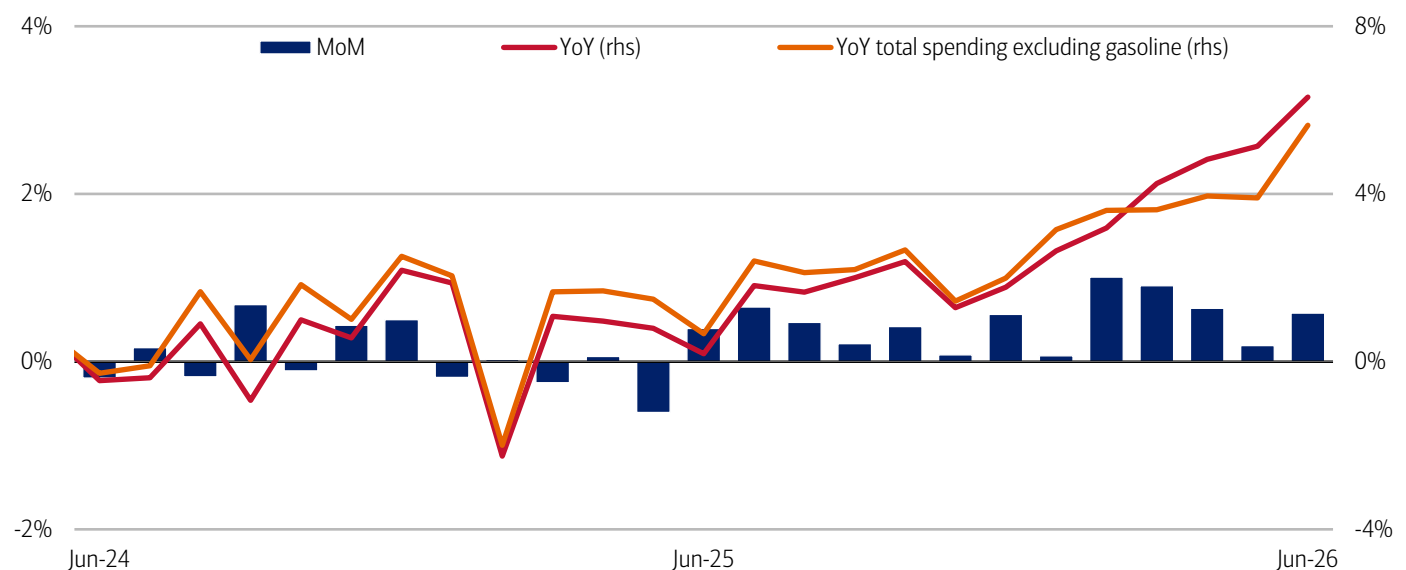
- Heading into the summer, consumer spending momentum was very strong, with total credit and debit card spending rising 6.3% year-over-year (YoY) in June - the strongest growth in over four years - according to Bank of America internal card data. With gasoline prices falling, the increase in spending growth is almost entirely a discretionary story.
- Some of the strength in June was likely driven by online promotions and the FIFA World Cup 2026™. On the latter, we see comparatively strong increases in spending growth in host cities versus other US cities, particularly in food services.
- There has been a notable convergence in both wages and spending across income cohorts in recent months. In June, lower-income households' after-tax wage growth rose above that of middle-income households. Whether these trends persist into the second half of the year will hinge on whether underlying labor market momentum is sustained.

Consumer spending keeps scoring in June

Heading into the summer, consumer spending showed strong growth. Bank of America aggregated credit and debit card spending per household increased 6.3% year-over-year (YoY) in June, the strongest growth rate since April 2022. With gasoline prices easing in June, total card spending excluding gas surged 5.6% YoY – also the strongest growth since April 2022 and up from 3.9% YoY in May. On a month-over-month (MoM) basis, spending was a healthy 0.6% (Exhibit 1).

Exhibit 1: Spending growth was robust in June, with and without gasoline factored in

Total card spending growth per household, based on Bank of America aggregated credit and debit card data (monthly, MoM%, seasonally adjusted (SA)) and (monthly, YoY%, non-SA, right-hand side (rhs))



Source: Bank of America internal data

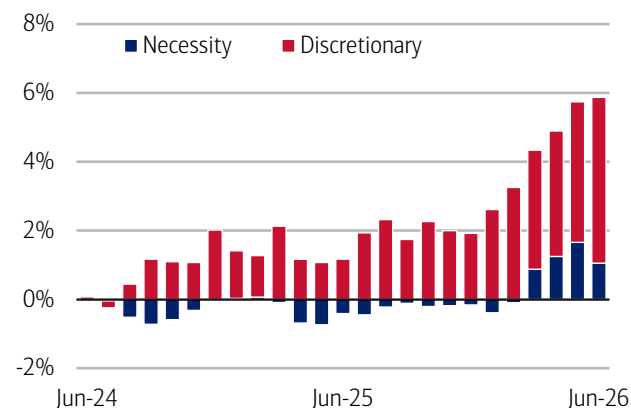
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Discretionary services and retail spending are still holding up

Easing prices at the pump allowed consumers to dial back spending on necessities in June. In fact, most of the growth in card spending last month came from discretionary purchases (Exhibit 2), with both retail and services categories driving the gains (Exhibit 3).

Exhibit 2: Consumers eased spending on necessities in June

Contribution to YoY total credit and debit card spending growth by category, based on Bank of America card data (monthly, SA, percentage points contribution)



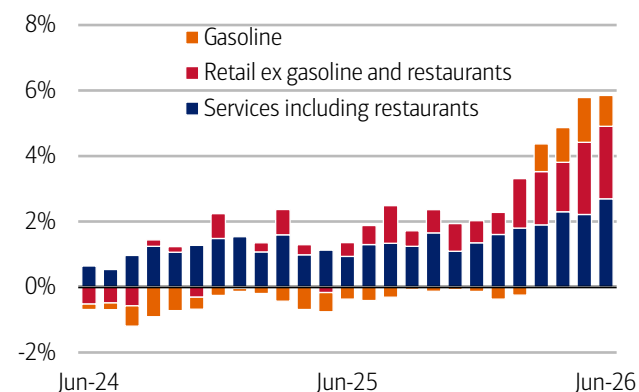
Source: Bank of America internal data

Note: Necessity spending includes gas, groceries and utilities.

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Exhibit 3: Services drove most of the overall YoY spending growth, though retail still contributed meaningfully

Contribution to YoY total credit and debit card spending growth by category, based on Bank of America card data (monthly, SA, percentage points contribution)



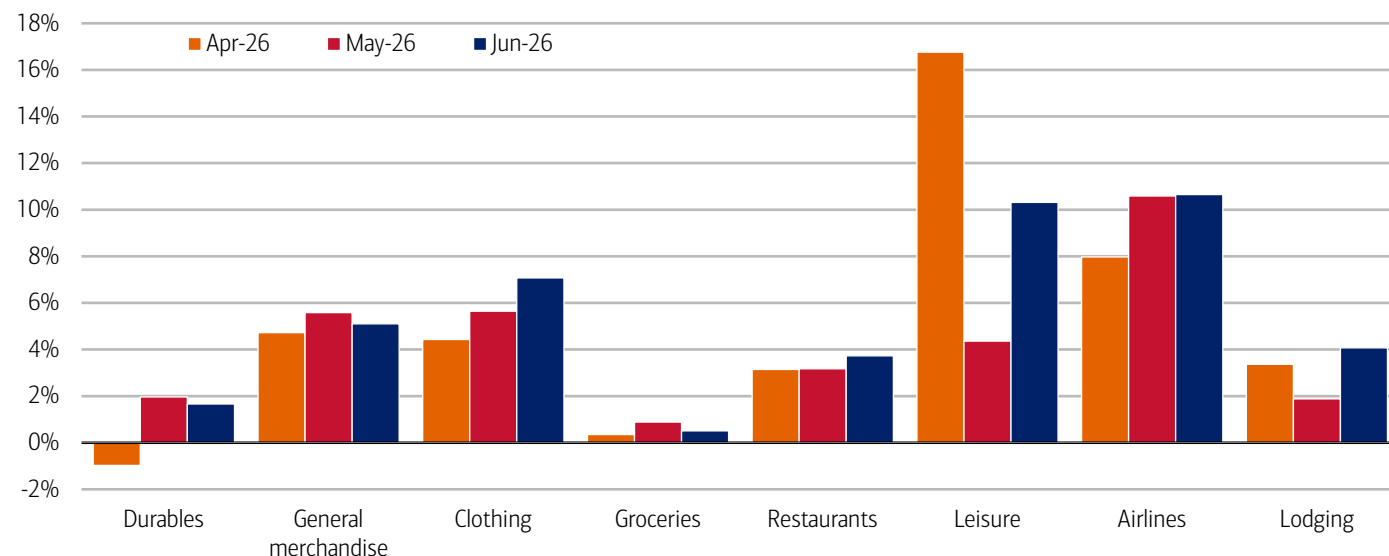
Source: Bank of America internal data

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Looking across categories, some discretionary services, like leisure activities and airline spending, have largely seen stronger YoY growth over the past three months compared to discretionary retail. Yet discretionary retail spending was still solid (Exhibit 4). Airlines and leisure activities posted double-digit growth in June, while clothing and general merchandise were up about 7% and 5% YoY, respectively.

Exhibit 4: Spending on discretionary services has outpaced growth in discretionary retail categories

Credit and debit card spending growth per household, based on Bank of America card data, by select spending categories (monthly, YoY%)



Source: Bank of America internal data

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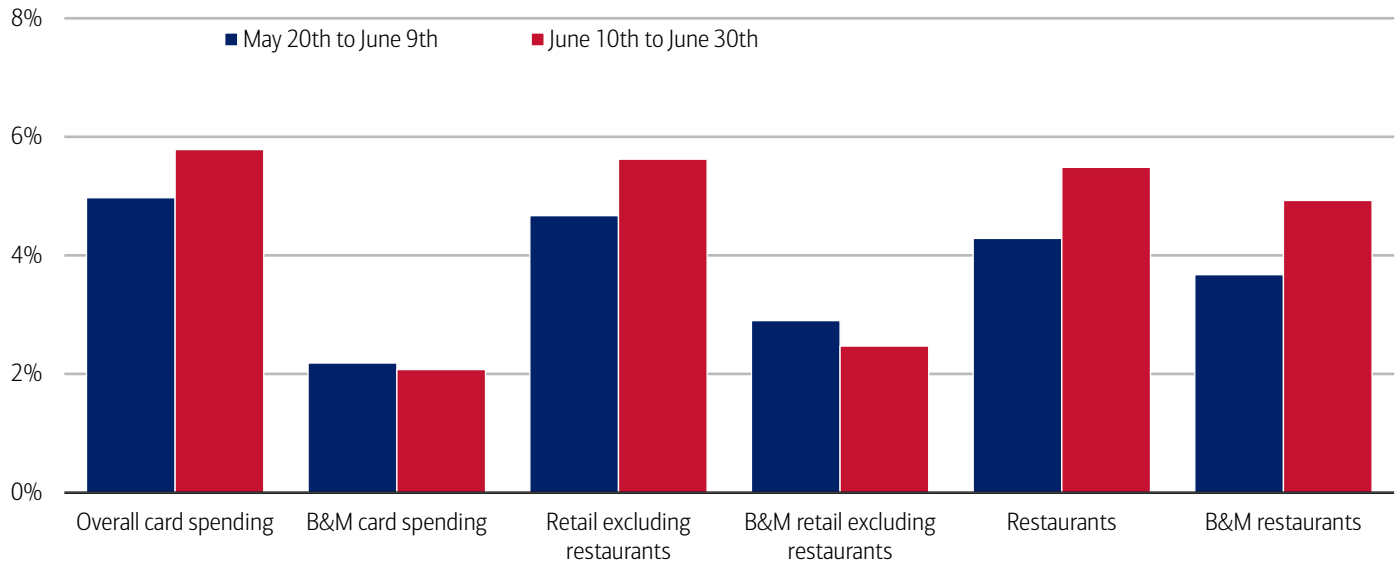
World Cup kicks spending into high gear

Notably, some of June's spending strength may be attributable to temporary factors. Most obviously, the FIFA World Cup 2026™, which kicked off on June 11. Looking at overall card spending since the start of the tournament compared to the period immediately before, we see an increase in spending, especially at restaurants and bars (Exhibit 5). Some of this boost is also

likely due to unrelated online promotions that occurred toward the end of June, but took place in July in 2025, thereby pushing up the YoY comparison this month.

Exhibit 5: Online spending and services experienced a boost at the end of June, mostly from the World Cup and unrelated online promotions

Bank of America aggregated card spending across select categories for overall and brick-and-mortar (B&M) (21-day moving average, YoY%)



Source: Bank of America internal data

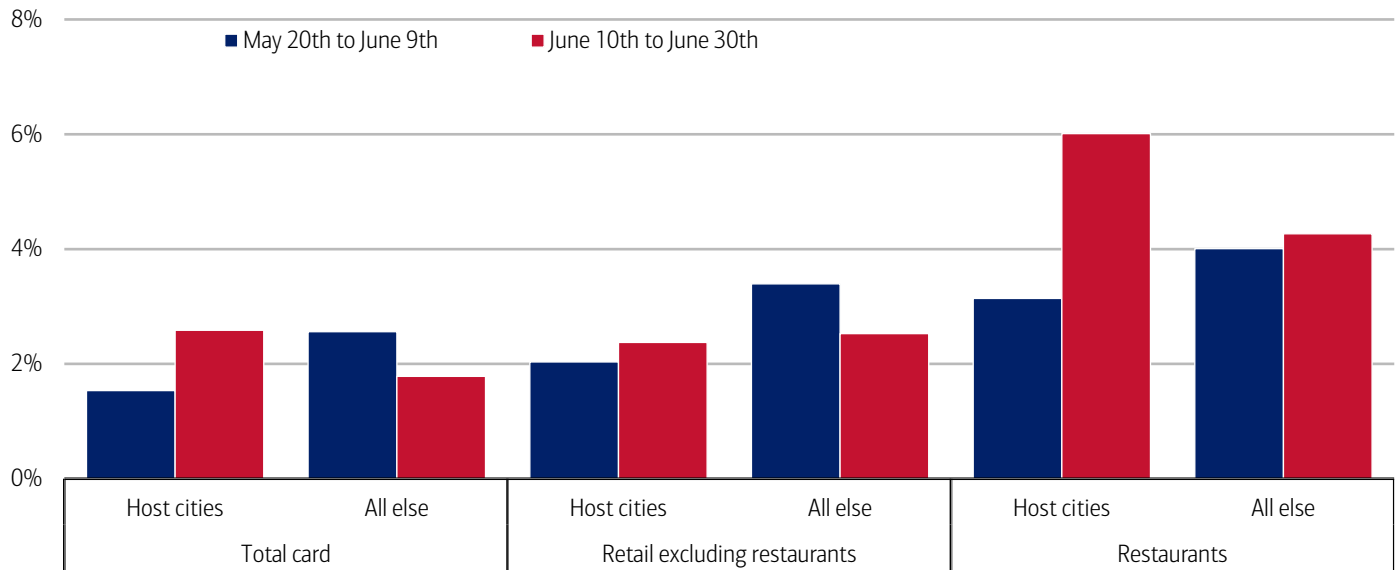
Note: B&M spending includes physical point of sale transactions in the category, while total spending will include transactions also done online. We have excluded transactions from the analysis that do not have a valid zip code.

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Digging deeper, we compare US-based brick-and-mortar (B&M) spending in World Cup host cities (based on ZIP codes) with spending elsewhere in the US and find that some of the surge has been concentrated where games are being played. Most clearly, restaurant outlays saw a boost of two percentage points in tournament host cities, while all other cities saw no increase during this period (Exhibit 6).

Exhibit 6: Host cities saw accelerating YoY spending growth in the three weeks through June 27 versus the prior three weeks

Aggregated B&M card spending, based on Bank of America data, across select categories (21-day moving average, YoY%)



Source: Bank of America internal data

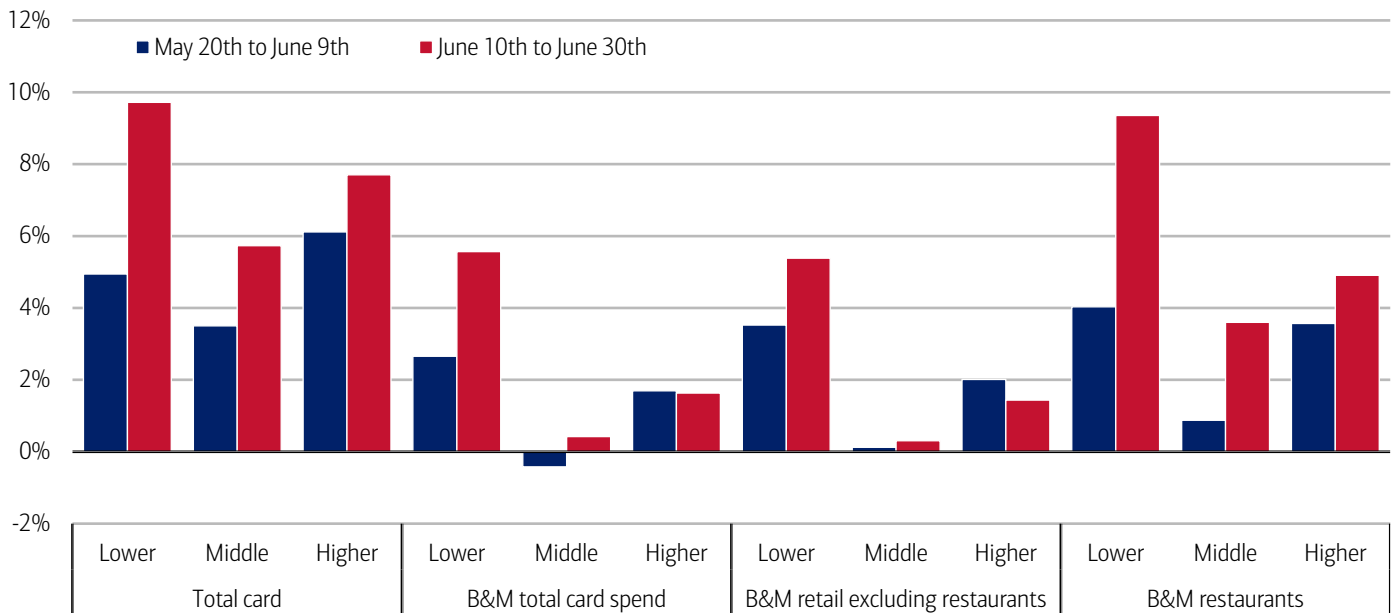
Note: Spending includes only brick & mortar transactions. We have excluded transactions from the analysis that do not have a valid ZIP code.

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Analyzing the same data by income, it appears lower-income households ramped up their spending at local B&M businesses in host cities for the World Cup games, while higher-income households eased back slightly (Exhibit 7).

Exhibit 7: Lower-income households accelerated spending during the World Cup

Aggregated card spending, based on Bank of America data, across select overall and B&M categories in host cities by household income tercile (21-day moving average, YoY%)



Source: Bank of America internal data

Note: B&M spending includes physical point-of-sale transactions in the category, while total spending includes online transactions. All spending in this analysis occurred in host cities. We have excluded transactions from the analysis that do not have a valid ZIP code.

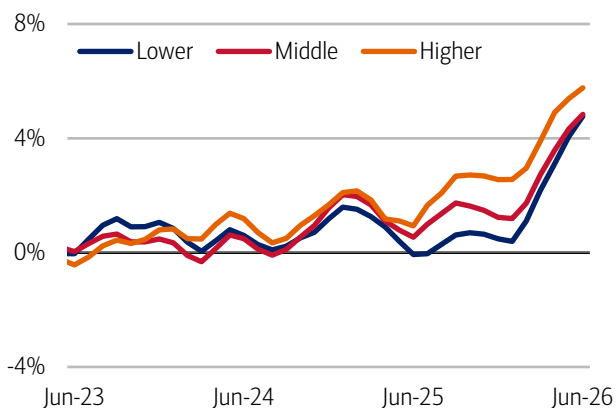
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The “K” in spending and wage growth continues to narrow

While all cohorts saw an improvement in spending growth, lower-income households experienced the biggest boost, with spending up 4.8% YoY in June from 4.1% YoY in May. Higher-income spending growth, by contrast, increased more modestly to 5.8% YoY from 5.4% the month prior (Exhibit 8). Looking at discretionary spending, the gap between higher- and lower-income households’ spending growth also narrowed significantly and was the smallest we’ve seen since July 2025 (Exhibit 9).

Exhibit 8: Higher-income households’ spending rose to 5.8% YoY in June compared to 4.8% for lower- and middle-income households

Total credit and debit card spending per household, according to Bank of America card data, by household income tercile (three-month moving average, YoY%, SA)

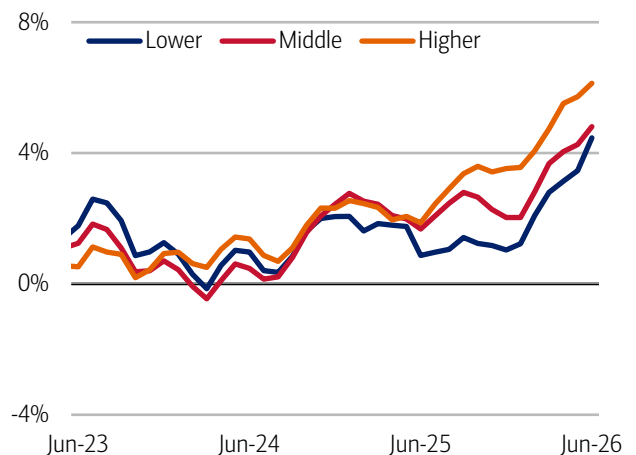


Source: Bank of America internal data

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Exhibit 9: Discretionary spending growth improved the most for higher- and lower-income households in June

Discretionary card spending per household by income tercile (SA, YoY%)



Source: Bank of America internal data

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Wage growth rises further for lower-income households

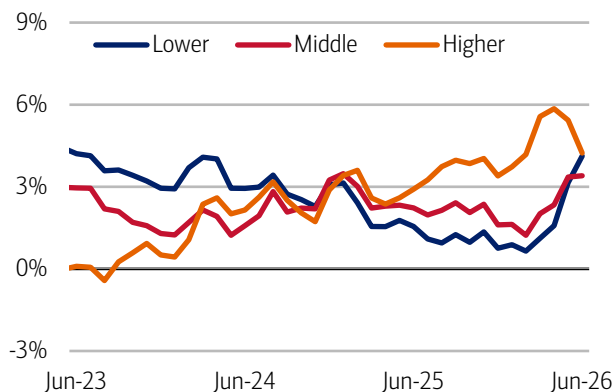
The narrowing in the spending gaps mirrors narrowing in after-tax wages. In fact, lower-income households saw wage growth accelerate to 4.1% YoY in June, the highest since July 2023 and above the 3.4% YoY for middle-income households (Exhibit 10).

At the same time, higher-income households' wage growth declined to 4.2% YoY in June – meaning their previous strength compared to their lower-income counterparts has largely disappeared.

In our view, whether these trends persist into the second half of the year remains to be seen. One possibility is that some lower- and middle-income households reduced their tax withholdings this year to reflect changes from the One Big Beautiful Bill Act (OBBA), thereby boosting their take-home pay. Exhibit 11 shows the taxes withheld per employee is still growing, but growth has been weaker than average weekly earnings growth in June, though it's not clear this is the whole story.

Exhibit 10: In June, higher-income households' after-tax wage growth eased to 4.2% YoY, while that of the lower-income cohort improved to a similar level

After-tax wage and salary growth by household income tercile, based on Bank of America aggregated consumer deposit account data (three-month moving average, YoY%, SA)

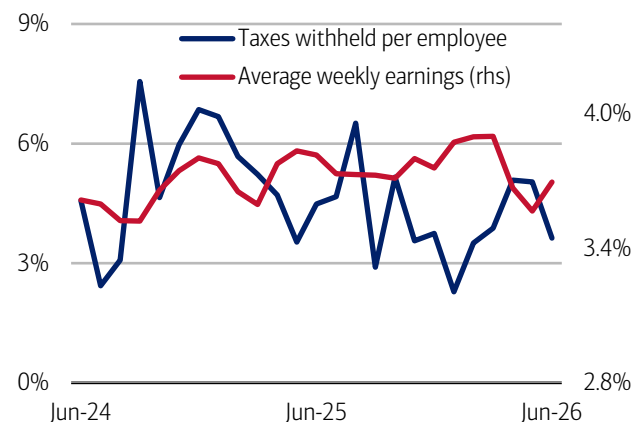


Source: Bank of America internal data

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Exhibit 11: Average tax withholding growth has eased along with average hourly earnings gains

Average tax withheld per nonfarm payroll compared to average weekly earnings (three-month moving average, YoY%)



Source: Haver Analytics

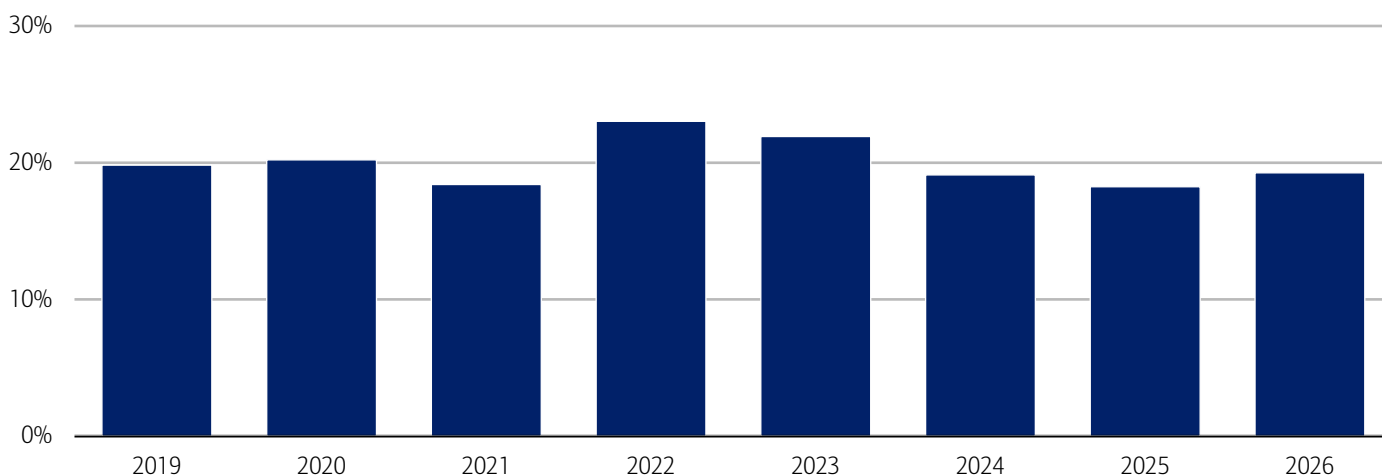
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Another possibility is that there has been an underlying improvement in the labor market. In Bank of America deposit account data, we see signs that people have been moving between jobs at a faster rate in Q2 2026 than in Q2 2025, even as the pay premium for switching has diminished in recent years (Exhibit 12 and Exhibit 13). And while this is true across income cohorts, lower-income households have been getting larger pay bumps of around 12% when they move jobs, compared to 9% for the higher-income cohort (for more on this, read: [Should I stay or should I go? The pay tradeoff](#)).

Furthermore, lower- and middle-income households also appear to be switching at higher rates both compared to last year and pre-pandemic levels (read more: [The Institute Employment Report: June 2026](#)). If a stronger labor market drives the narrowing of the “K” shape in wage growth, that trend could continue as long as the labor market remains strong.

Exhibit 12: Job switching has increased over the past year, but remains below the peaks seen in 2022 and 2023

Share of total consumers with a steady paycheck who switched employers (Q2 of every year, %)



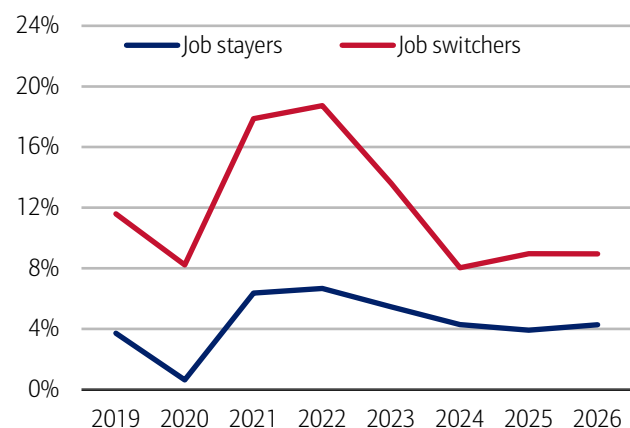
Source: Bank of America internal data

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The drivers of stronger wage growth matter not only for spending, but also for the future trajectory of the “K.” For example, if stronger after-tax wage growth is largely linked to tax withholdings, the boost to YoY wage growth could last upwards of a year, but the broader impact on MoM spending momentum will likely wane over time. Alternatively, if a stronger labor market is the catalyst, spending could be strong as long as the jobs picture remains robust. But with wage growth currently lower than spending growth across income cohorts, some easing from the exceptionally strong spending growth in June seems possible (Exhibit 14).

Exhibit 13: The pay premium for switching jobs is below pre-pandemic levels

Median after-tax wage growth for those who stayed with their employer versus those who changed employers (Q2 of every year, YoY%)

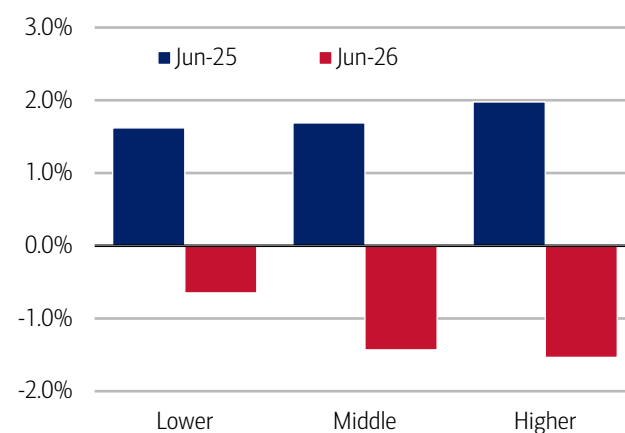


Source: Bank of America internal data

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Exhibit 14: Spending growth outpaced wage growth for all income cohorts

The difference between after-tax wage and salary growth and total card spending by household income (three-month moving average, percentage points)



Source: Bank of America internal data

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Methodology

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Any payments data represents aggregated spend from US Retail, Preferred, Small Business and Wealth Management clients with a deposit account or credit card. Aggregated spend include total credit card, debit card, ACH, wires, bill pay, business/peer-to-peer, cash, and checks.

Any **Small Business** payments data represents aggregate spend from Small Business clients with a deposit account or a Small Business credit card. Payroll payments data include channels such as ACH (automated clearing house), bill pay, checks and wire. Bank of America per Small Business client data represents activity spending from active Small Business clients with a deposit account or a Small Business credit card and at least one transaction in each month. Small businesses in this report include business clients within Bank of America and generally defined as under \$5mm in annual sales revenue.

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The differences between the total and per household card spending growth rate (if discussed) can be explained by the following reasons:

1. Overall total card spending growth is partially boosted by the growth in the number of active cardholders in our sample. This could be due to an increasing customer base or inactive customers using their cards more frequently.
2. Per household card spending growth only looks at households that complete at least five transactions with Bank of America cards in the month. Per household spending growth isolates impacts from a changing sample size, which could be unrelated to underlying economic momentum, and potential spending volatility from less active users.
3. Overall total card spending includes small business card spending while per household card spending does not.
4. Differences due to using processing dates (total card spending) versus transaction date (per household card spending).
5. Other differences including household formations due to young adults moving in and out of their parent's houses during COVID.

Any household consumer deposit data based on Bank of America internal data is derived by anonymizing and aggregating data from Bank of America consumer deposit accounts in the US and analyzing that data at a highly aggregated level. Whenever median household savings and checking balances are quoted, the data is based on a fixed cohort of households that had a consumer deposit account (checking and/or savings account) for all months from January 2019 through the most current month of data shown.

Bank of America aggregated credit/debit card spending per household includes spending from active US households only. Only consumer card holders making a minimum of five transactions a month are included in the dataset. Spending from corporate cards are excluded. Data regarding merchants who receive payments are identified and classified by the Merchant Categorization Code (MCC) defined by financial services companies. The data are mapped using proprietary methods from the MCCs to the North American Industry Classification System (NAICS), which is also used by the Census Bureau, in order to classify spending data by subsector. Spending data may also be classified by other proprietary methods not using MCCs.

We consider a measure of services necessity spending that includes but is not limited to groceries, utilities, and gasoline. Discretionary services includes but is not limited to charitable donations, leisure travel, entertainment, and professional/consumer services. Discretionary retail includes but is not limited to general merchandise, miscellaneous, clothing, electronics and furniture. It excludes categories like groceries and gasoline. Holiday spending is defined as items in which spending in the November-December period is usually at least 20% of total annual spending on the category. Value and premium grocers are determined judgmentally on a proprietary analysis of merchants by equity analysts.

Durables spending is defined as spending on electronics, building materials, auto-related spending and furniture. Premium durables spending is based on a selection of retailers who are judged to sell relatively higher value products. Conversely, value durables spending is based on a selection of retailers who are judged to sell relatively lower value products.

Lower, middle and higher household income cuts in Bank of America credit and debit card spending per household, and consumer deposit account data are based on quantitative estimates of each households' income. These quantitative estimates are bucketed according to terciles, with a third of households placed in each tercile periodically. The lowest tercile represents 'lower income', the middle tercile represents 'middle income' and the highest tercile 'higher income'. The income thresholds between these terciles will move over time, reflecting any number of factors that impact income, including general wage inflation, changes in social security payments and individual households' income. The income and tercile in which a household is categorised are periodically re-assessed.

Generations, if discussed, are defined as follows: Gen Z, born after 1995; Younger Millennials: born between 1989-1995; Older Millennials: born between 1978-1988; Gen Xers: born between 1965-1977; Baby Boomer: 1946-1964; Traditionalists: pre-1946.

Any reference to card spending per household on gasoline includes all purchases at gasoline stations and might include purchases of non-gas items.

Additional information about the methodology used to aggregate the data is available upon request.

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Economy

The Institute Employment Report: June 2026

07 July 2026

Key takeaways

- Bank of America customer deposit account data suggests labor market momentum improved again in June, with estimated payroll growth accelerating to 1.7% year-over-year (YoY). This strength appears broad-based, with job growth picking up in both FIFA World Cup 2026™ host cities and non-host cities, indicating the improvement extends beyond any tournament-related boost.
- Consistent with a healthy labor market, unemployment payments into Bank of America customer accounts continued to soften in June. The number of households receiving unemployment benefits showed further moderation, reinforcing signs that labor market conditions remain resilient despite softer official payroll readings.
- Lower-income households saw a rebound in after-tax wage growth, rising to 4.1% YoY in June, above middle-income households (3.4%) and nearly matching higher-income households (4.2%). Increased job switching activity, particularly among lower-income workers who tend to receive larger pay gains when changing employers, could be helping narrow the wage growth gap.

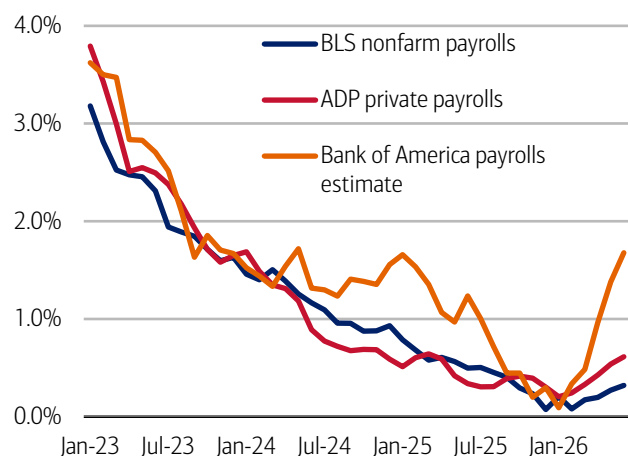
June job growth was solid in deposit account data

Our estimate of job growth – which uses Bank of America deposit data to track changes in the number of customer accounts receiving a paycheck (see Methodology) – rose 1.7% year-over-year (YoY) in June. The data can be noisy, partly due to seasonal variation and differences in pay-period timing. Nonetheless, in our view, it suggests there is some continued momentum in the labor market.

While official data from the Bureau of Labor Statistics (BLS) showed that nonfarm payrolls rose only 57,000 in June, the YoY growth rate of this measure has also been rising since February (Exhibit 1).

Exhibit 1: June payroll growth remained strong in Bank of America deposit account data

Payroll estimates from Bank of America customer deposit account data (three-month moving average, % YoY), the Bureau of Labor Statistics (BLS) and Automatic Data Processing (ADP) (monthly, YoY)



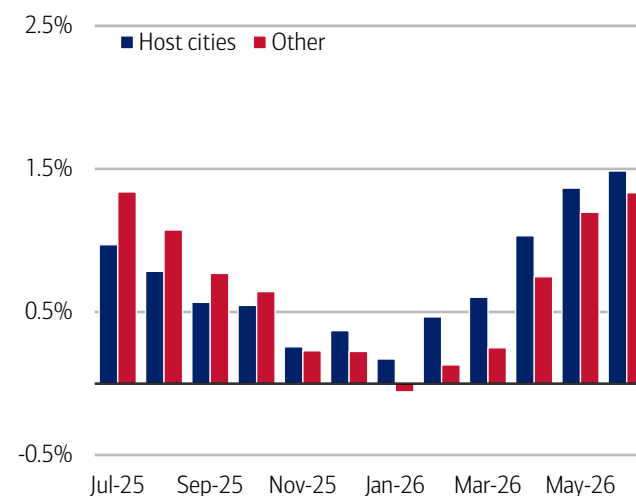
Source: Bank of America internal data, Haver Analytics

Note: BLS and ADP data are seasonally adjusted, Bank of America data is not seasonally adjusted.

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Exhibit 2: The acceleration in job growth is shared by cities hosting World Cup games and those that are not

Payroll estimates from Bank of America customer deposit account data (three-month moving average, % YoY) for cities hosting FIFA World Cup 2026™ games and all other cities



Source: Bank of America internal data

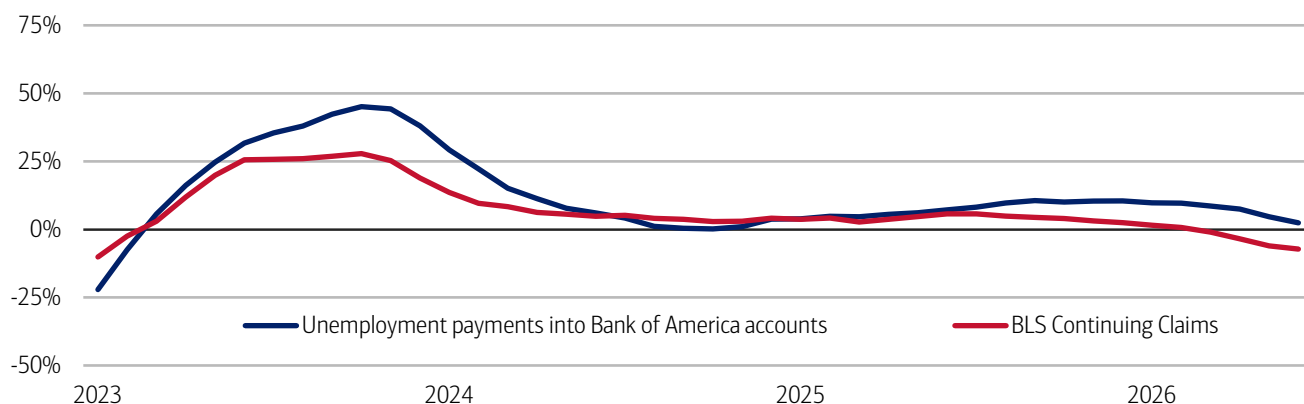
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Has the FIFA World Cup 2026™ been a significant driver of the acceleration in jobs growth? To analyze this, we look at jobs' growth in our data for cities that are hosting games and those that are not. When we do this, it is not obvious there is a strong impact from the tournament: while job growth has accelerated more in 2026 relative to the second half of 2025 in host cities, those that aren't hosts have also seen an acceleration (Exhibit 2).

And consistent with an underlying continued improvement in the labor market, Bank of America data on unemployment payments into customer accounts shows easing growth (Exhibit 3).

Exhibit 3: Unemployment payment growth in June declined further in Bank of America consumer deposit data

Number of households receiving unemployment payments (three-month moving average, YoY%, not seasonally adjusted (NSA)) and Continuing Claims (three-month moving average, YoY%, seasonally adjusted (SA))



Source: Bank of America internal data, Bloomberg

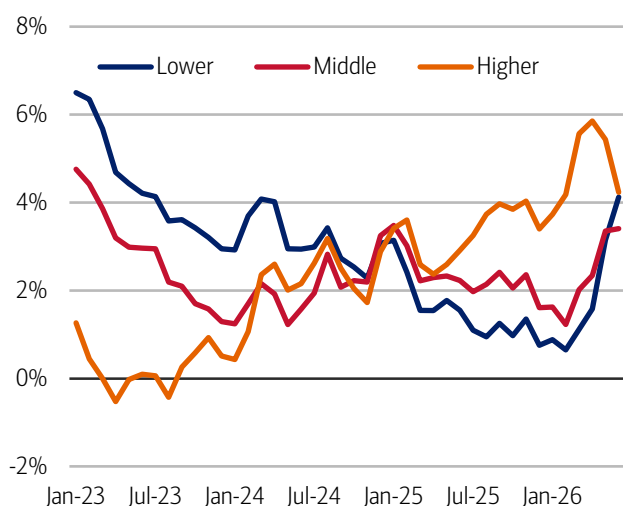
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Lower-income households' wage growth has picked up strongly

Bank of America data continues to show signs of a significant recovery in lower- and middle-income households' after-tax wage growth. In fact, lower-income households saw wage growth accelerate to 4.1% YoY in June, the highest rate since July 2023 and above the 3.4% YoY growth rate recorded by middle-income households. At the same time, higher-income households' wage growth declined to 4.2% YoY in June – meaning their previous lead over lower-income households has largely disappeared.

Exhibit 4: In June, after-tax wage growth among lower-income households rose to 4.1% YoY, surpassing the 3.4% YoY growth rate for middle-income households

After-tax wage and salary growth by household income terciles, based on Bank of America aggregated consumer deposit account data (three-month moving average, YoY%, SA)

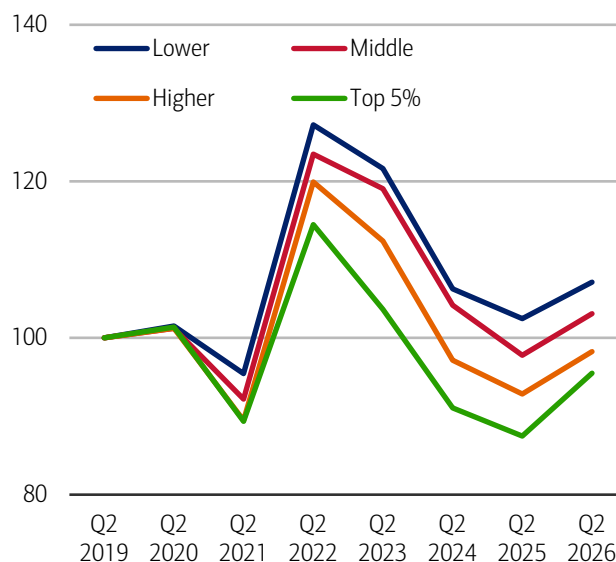


Source: Bank of America internal data

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Exhibit 5: The job switching rate has risen across income cohorts

The share of total consumers with a steady paycheck who switched employers by household income group (Q2 of every year, index 2019 Q2 = 100)



Source: Bank of America internal data

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Will this improvement in lower- and (to a lesser extent) middle-income households' after-tax wage growth persist? It is hard to be sure. One possibility is that some lower- and middle-income households have decided to reduce their tax withholdings this year to reflect changes from the One Big Beautiful Bill Act (OBBBA), thereby boosting their take-home pay growth. If this is the case, the impact on after-tax wage growth could last for a year.

But the underlying improvement we have seen in job growth this year could also be part of the explanation. In Bank of America internal data, we see signs that households were moving between jobs at a faster rate in Q2 2026 than they were in Q2 2025 (Exhibit 5). And while this is true across income cohorts, lower-income households have also been getting larger pay bumps of around 12%, compared to 9% for higher-income households, when they move jobs (for more on this, read our publication: [Should I stay or should I go? The pay tradeoff](#)). In this scenario, this effect may last as long as the improvement in the labor market continues but would be vulnerable to a pullback if labor demand slows.

Methodology

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4. Differences due to using processing dates (total card spending) versus transaction date (per household card spending).
5. Other differences including household formations due to young adults moving in and out of their parent's houses during COVID.

Any household consumer deposit data based on Bank of America internal data is derived by anonymizing and aggregating data from Bank of America consumer deposit accounts in the US and analyzing that data at a highly aggregated level. Whenever median household savings and checking balances are quoted, the data is based on a fixed cohort of households that had a consumer deposit account (checking and/or savings account) for all months from January 2019 through the most current month of data shown.

Bank of America aggregated credit/debit card spending per household includes spending from active US households only. Only consumer card holders making a minimum of five transactions a month are included in the dataset. Spending from corporate cards are excluded. Data regarding merchants who receive payments are identified and classified by the Merchant Categorization Code (MCC) defined by financial services companies. The data are mapped using proprietary methods from the MCCs to the North American Industry Classification System (NAICS), which is also used by the Census Bureau, in order to classify spending data by subsector. Spending data may also be classified by other proprietary methods not using MCCs.

We consider a measure of services necessity spending that includes but is not limited to childcare, rent, insurance, public transportation, and tax payments. Discretionary services includes but is not limited to charitable donations, leisure travel, entertainment, and professional/consumer services. Holiday spending is defined as items in which spending in the November-December period is usually at least 20% of total annual spending on the category.

For analysis looking at higher value transactions (including durables), we consider a value per transaction threshold estimated with reference to the top 30% of transactions by value in 2024. The share of higher value transactions is then the number of transactions above this threshold as a percentage of total transactions over time.

Lower, middle and higher household income cuts in Bank of America credit and debit card spending per household, and consumer deposit account data are based on quantitative estimates of each households' income. These quantitative estimates are bucketed according to terciles, with a third of households placed in each tercile periodically. The lowest tercile represents 'lower income', the middle tercile represents 'middle income' and the highest tercile 'higher income'. The income thresholds between these terciles will move over time, reflecting any number of factors that impact income, including general wage inflation,

changes in social security payments and individual households' income. The income and tercile in which a household is categorised are periodically re-assessed.

Generations, if discussed, are defined as follows: Gen Z, born after 1995; Younger Millennials: born between 1989-1995; Older Millennials: born between 1978-1988; Gen Xers: born between 1965-1977; Baby Boomer: 1946-1964; Traditionalists: pre-1946.

Any reference to card spending per household on gasoline includes all purchases at gasoline stations and might include purchases of non-gas items.

Estimate of payrolls growth from Bank of America internal data is based on the change in customer accounts receiving a paycheck in the month. An adjustment is made for the difference between overall population growth and customer account growth.

An estimate of bonus growth from Bank of America deposit data is calculated by looking at customers who have received an inbound ACH payroll transaction in the last two years. From this sample an estimate of bonuses is derived by looking for payroll transactions which are over 50% higher than the median regular payroll payments received by the customer. Of these payments only those that were received around the same time in each of the last two years are selected.

Additional information about the methodology used to aggregate the data is available upon request.

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Disclosures

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